

Electronics Component Manufacturing Policy - 2025

In 2025, Uttar Pradesh introduced the Electronics Component Manufacturing Policy – 2025 through the IT & Electronics department. The policy is for the parts that go inside electronic products, like printed circuit boards, camera modules, and lithium-ion batteries. These parts do not always get much attention, but they decide how much of the work stays in India and how much still has to come from outside.

India is still bringing in a huge amount of electronics. The import bill crossed about \$116.17 billion in 2025–26, according to official Commerce Ministry data. That shows how much the country still depends on other markets for components and finished goods. That is where this policy fits in. It gives companies a 20% capital subsidy, EPF reimbursement, and extra localization incentives of around 1–2% if they source more locally or make more of the value chain here.

The scheme names linked to it are the PCB Manufacturing Subsidy and the State ECMS Top-Up. These are not



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separate schemes; they are incentives under the policy. Those names may sound technical, but the idea behind them is straightforward: lower the cost of setting up, and make it worth the trouble to manufacture in Uttar Pradesh. For a company planning a factory, that kind of

support can matter a lot in the beginning. This policy also has a wider industrial meaning. Electronics manufacturing does not create only one kind of work. It needs machine operators, quality check staff, maintenance workers, technicians, design teams, logistics people, and others who keep the line moving. So when a unit comes up, the jobs do not stop at the factory gate. They spread into transport, repair, warehousing, and local services too.

Uttar Pradesh already has a base in electronics, especially around Noida and nearby industrial belts. That is why people keep comparing this policy to the mobile phone story in Noida. The comparison is fair, but the real test will be whether component makers, suppliers, and support services begin to cluster in the same way. That kind of ecosystem does not happen just because a policy exists. It happens when enough firms actually set up and stay.

The state has also tied this policy to the Centre's electronics scheme, which gives companies a two-layer support structure instead of a single one. The larger target is to move Uttar Pradesh toward becoming a global hub by 2030. That is a big target, but the direction is clear. The state wants more of the electronics value chain to sit at home instead of being bought from elsewhere. This policy is trying to move the state closer to deeper manufacturing. When parts are made locally, the benefit does not stop at one factory; it stays in the economy for longer.

